RESERVE BANK OF INDIA - DEPARTMENT OF REGULATION
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Guidelines on Digital Lending

1. Applicability and Definitions:

These guidelines are applicable to all Commercial Banks, Primary (Urban) Co-operative Banks, State Co-operative Banks, and Non-Banking Financial Companies (NBFCs).

- Digital Lending: A remote, automated lending process largely using seamless digital technologies.
- Lending Service Provider (LSP): An agent of a Regulated Entity who carries out functions such as customer acquisition, underwriting support, pricing support, disbursement, or recovery.
- Digital Lending Apps (DLAs): Mobile and web-based applications offering digital lending services.

2. Loan Disbursal, Servicing, and Repayment:

(a) All loan disbursals and repayments must be executed directly between the bank account of the borrower and the Regulated Entity (RE), without any pass-through or pool account of any third party.

(b) In no case shall disbursal be made to a third-party account, including the account of an LSP.

(c) Any fees or charges payable to LSPs in the lending process shall be paid directly by the RE and shall NOT be charged by the LSP directly to the borrower.

Guidelines on Digital Lending (Continued)
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3. Disclosure to Borrowers and Key Fact Statement (KFS):
(a) Regulated Entities must provide a standardized Key Fact Statement (KFS) to the borrower before the execution of the loan contract, in a format prescribed by RBI.
(b) The KFS shall clearly disclose the Annual Percentage Rate (APR), recovery mechanism, details of grievance redressal officer, and cooling-off / look-up period.
(c) Any fee or charge not mentioned in the KFS cannot be charged to the borrower at any stage.

4. Cooling-off / Look-up Period:
A cooling-off period of not less than three (3) days for loans having tenor of seven days or more, and one (1) day for loans having tenor of less than seven days, shall be provided to borrowers. During this period, the borrower may exit the digital loan by paying the principal and proportionate APR.

5. Protection of Customer Data and Privacy:
(a) DLAs shall not collect biometric data of borrowers unless authorized under law.
(b) Access to mobile phone resources such as file and media, contact lists, call logs, and telephony functions is strictly prohibited.
(c) One-time access may be taken for camera, microphone, or location solely for KYC onboarding.